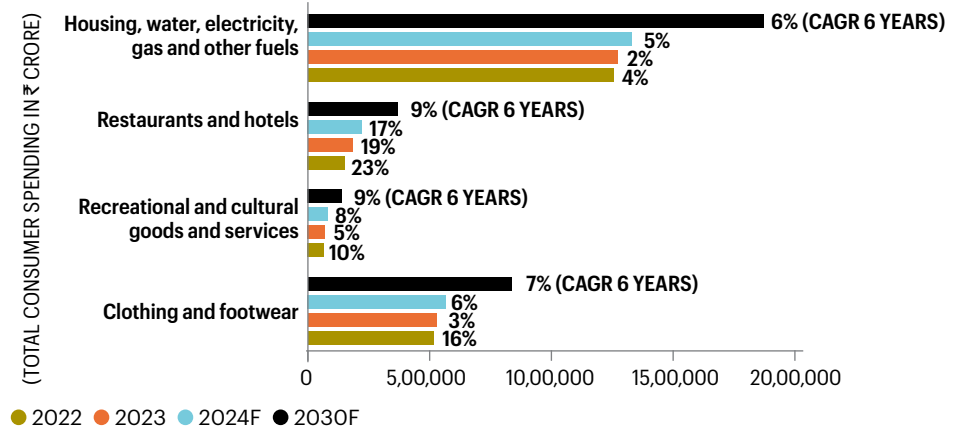




GROWTH IN CONSUMER SPENDING

• The past few years have seen discretionary spending growing the highest among consumer spending in India. The trend is likely to continue



F: FORECAST; THE NUMBER BESIDE THE BAR REPRESENTS YoY PERCENTAGE CHANGE, EXCEPT FOR YEAR 2030 **SOURCE** OXFAM ECONOMICS, DECEMBER 2023; CBRE RESEARCH

As for prices, industry experts say that talking about India's high tariffs is a fallacy. "It is true that tariffs were high with multiple taxes with no input credits before the introduction of GST," says the RBL spokesperson. "Today India is one of the cheapest countries to do business in. You get input credits on the GST for everything, other than of course the basic customs duties. Because of this there hardly are any price disparities between India and other countries."

However, the Indian market could do well with more space tailor-made for luxury retail, say experts. As things stand, there are several brands looking to enter the country but owing to the lack of infrastructure, their launches have been delayed. Many are waiting for the development of retail space which could take another couple of years to complete. "The retail space has to be accessible and the right infrastructure has to be made available in areas with matching profiles of luxury brands in order to expand the brands' presence in a market," says Sath-

yajit Radhakrishnan, CEO (International Brands) of Aditya Birla Fashion Retail Ltd (ABFRL). ABFRL has under its umbrella luxury brands such as Ralph Lauren, Hackett London, and Ted Baker, among others, in addition to its international multi-brand stores, The Collective; it also has Indian designer brands such as Sabyasachi, Tarun Tahiliani, House of Masaba, Shantnu & Nikhil. Soon ABFRL will be opening the doors of the French multi-brand store Galeries Lafayette in India, first in Mumbai and then in New Delhi. "There are many international luxury and bridge-to-luxury and super premium brands interested in entering the Indian market. But for the moment, we do face the challenge of availability of space here. There are indications of expansion of luxury retail space, but the availability of real estate will take a few years as construction will take time to complete," says Radhakrishnan.

T **HERE IS A** growing demand for retail space. "Had the malls with their retail space [for luxury brands] been ready today, it would have been totally leased out by now as many of us are interested in expanding our brand portfolios. Unfortunately, there is no space to accommodate them at the moment, so we are holding off our plans of bringing more brands until some indications of real estate developments are seen," says Ritesh Kumar of DS Luxury Retail, which has under its umbrella luxury brands such as Tom Ford, Brioni, Berluti, Aquazzura, and Brunello Cucinelli. "With the ever-increasing awareness and buying power, we definitely could do with more luxury retail space, especially in Delhi and Mumbai," he says.